Montana Home Builders

173 North Rt. 9W

Congers, NY 10965

O: (845) 398-1778

CONSTRUCTION PROPOSAL

For the Construction of Kim Residence

Prepared For:

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Prepared By:

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Project Delivery Method: Cost-Plus

Montana Home Builders proposes to complete construction of the residential project under a cost-plus fee structure, ensuring full transparency while providing the owner with direct control over budget and expenses.

Key Features of Cost-Plus Structure:

Direct Cost Billing – All labor, materials, subcontractors, and general conditions billed at actual cost.
Fixed Markup – Transparent overhead, profit, and insurance fees applied to costs.
Owner Oversight – Monthly financial reporting with receipts, time logs, and subcontractor invoices.

Preliminary Steps Before Construction:
Site Assessment – Superintendent will evaluate existing conditions and document progress.

Subcontractor Review – Verify existing subcontractor agreements, payment status, and qualifications.

Budget Development – Collaborate with architect/owner to finalize a detailed project budget.

Approval Process – No costs incurred without owner's written approval.

This proposal outlines the anticipated terms for cost-plus services. Upon finalization of the project budget, Montana Home Builders and the Owner will execute a formal:

AIA A104-2017 Standard Abbreviated Cost-Plus Agreement (with stipulated sum options),
AIA A201-2017 General Conditions, and
Exhibits (budget, markups, insurance, etc.).

General Conditions Rate Matrix

Trade		Price
PRINCIPAL		$175/Hour
SENIOR PROJECT MANAGER		$150/Hour
PROJECT MANAGER		$125/Hour
ASSISTANT PROJECT MANAGER		$75/Hour
GENERAL SUPERINTENDENT		$150/Hour
SUPERINTENDENT		$95/Hour
ESTIMATOR		$135/Hour
CARPENTER		$75/Hour
LABORER		$55/Hour
ADMIN SUPPORT		$65/Hour
FIELD TRUCK & TRAVEL		$400/Week
PROCORE COST ALLOCATION		$50/Week
PORTABLE TOILET(S)		$225/Month
SAFETY SUPPLIES, MISC. MATERIALS & PPE		$150/Week
STORAGE CONTAINER(S) (IF APPLICABLE)		$500/Month
TEMPORARY OFFICE SETUP (IF APPLICABLE)		$4,500 Lump Sum

Fee Structure

All costs incurred on the project, including subcontractor invoices, materials, equipment rentals, and general conditions labor and resources listed above, will be billed at cost plus the following markups:

Overhead & Profit: 15%
Insurance: 2.5%
These markups cover the builder's business operating expenses, risk exposure, and profit for the successful management and delivery of the project.

Our intent is to allocate the right resources needed to provide a successful outcome, while taking great care not to overburden the project with unnecessary costs. We understand the importance of budget-conscious execution and tailor our involvement to deliver true value without excess.

Billing Process

Montana Home Builders will adhere to AIA (American Institute of Architects) Standard Billing Practices (G702/G703) for all invoicing, ensuring industry-standard transparency.

AIA G703 Continuation Sheet – Itemized breakdown of all expenses.
Substantiation for Every Cost – Including:

Daily logs (Procore-generated, signed by Superintendent).
Subcontractor/vendor invoices (redacted for confidentiality if needed).
Material receipts and equipment rental agreements.
Timecards for all billable labor (approved by PM).

Payment Terms:
Invoices submitted by the 5th of each month.
Payment due within 15 days of approval.

Proposal Acceptance & Next Steps

This document is a proposal only and does not constitute a construction contract. By signing below, the Owner:

Authorizes Montana Home Builders (MHB) to proceed with:
Final budget development (including subcontractor audits and scope review),
Allocation of billable resources (e.g., Superintendent/PM time for due diligence).
Agrees to pay for pre-construction services at the rates outlined in Section 2 (General Conditions) of this proposal.

Acknowledges that construction will not commence until:
A formal AIA A104-2017 Cost-Plus Agreement is executed,
The project budget is approved in writing.

PRE-CONSTRUCTION BILLING TERMS

Pre-construction services (budget development, subcontractor vetting, etc.) will be invoiced monthly in arrears with:

AIA G702/G703 forms (for tracking),
Supporting logs/timecards per Section 4.
Payment due within 15 days of invoice.

OWNER'S PROPOSAL ACCEPTANCE:

Signing below authorizes budget development work only. No construction work is approved at this time.

Owner Name: _____
Signature: _____
Date: _____

MONTANA HOME BUILDERS:

Authorized Signatory: _____
Title: _____
Date: _____